

Use Tests

The Basel Use Test (CRR Article 144.1(b)) requires that internal models are primarily built and deployed for risk management and decision-making purposes, not solely for the calculation of Risk-Weighted Assets (RWAs).

While no prescriptive list of applications exists—since these depend on each institution’s business model and context—the IRB model’s risk parameters (PD, LGD, and EAD) are widely used and well-embedded across the Bank’s core risk management, capital allocation, and governance processes.

Front Book

- Refers to newly originated or recently booked exposures — accounts, loans, or facilities that have been approved under current credit policies and pricing standards.
- Used to assess current underwriting quality and the forward-looking risk profile of new lending. The performance of the front book shows how recent strategy and model changes are working.
- Front book exposures are important for ongoing monitoring and model application — ensuring that new lending is consistent with current risk appetite and that models remain predictive under current origination practices.

Back Book

- Refers to existing exposures that were originated under past policies, before current standards or models were applied.
- Used to assess legacy risk still on the balance sheet. The back book often reflects older vintages with potentially different risk characteristics, pricing, or credit criteria.
- Back book exposures are key for model validation, backtesting, and calibration — they provide historical performance evidence and show how well models would have predicted defaults or losses over time.

Applications

Area of Application	Description of Use
Allocation of Credit Decisioning Authority	Not applicable to retail portfolios.
Profitability and Performance Management	Return on RWA (RoRWA) and Return on Tangible Equity (ROTE) are reported and targeted. IRB model outputs support acquisition strategy, planning, investment valuation, marketing, and credit strategies. Inputs such as RWA and ECL feed into economic value and return on equity analyses. Existing customer management strategies (Balance Transfer, Proactive Credit Line Increase/Decrease, Account Closure) leverage RWA movements from prior year test/control populations for cost-benefit analysis.

Area of Application	Description of Use
Acquisitions and Divestments	Used in the for potential partnership renewals, portfolio acquisitions, and new partnership assessments. ROTE inputs include RWA and ECL forecasts.
Credit Underwriting and Limit Setting	Modern ML-based underwriting and ECM strategies are used; however, alignment with IRB default definitions and key risk drivers is maintained and will continue going forward.
Accounting (IFRS 9 Impairment)	Point-in-Time (PiT) models can feed IFRS 9 models, ensuring alignment between regulatory and accounting measures.
Credit Risk Reporting	Risk profiles for front-book and back-book exposures include balance-weighted PiT PDs derived from IRB models.
Risk Appetite Framework	IRB-derived PD, LGD, and EAD parameters are integral to the Bank's risk appetite and capital planning processes. RWAs, derived from these parameters, act as proxies for portfolio risk intensity and are embedded in key business metrics such as RoRWA and ROTE. These inform strategic decisions across acquisitions, investment, and credit line management.
Collections, Recoveries, and Restructuring	PiT LGD models are being evaluated for use in recovery strategies, including forward-flow debt sale decisions.
Pillar 2 Capital and Stress Testing	IRB parameter values feed Pillar 2A capital approaches (e.g., Economic Capital). Stress testing incorporates granular RWA movements and their PD/EAD/LGD drivers under adverse scenarios.
Internal Audit Planning	Model outputs may inform prioritization of audit focus areas based on portfolio risk intensity.
Risk-Adjusted Remuneration	Bonuses and salaries can be informed by the level of capital available and possible future performance